The war ended with the partition of Kashmir. India took the bulk of the province, including the capital Srinagar and the surrounding Vale of Kashmir. Pakistan held on to a smaller part, which it named Azad Kashmir, meaning "free Kashmir." Determined to get it all for Pakistan, Khan devised a plot code-named Operation Gibraltar to infiltrate Indian-held Kashmir with teams of Pakistanis who would foment an uprising that would then require Pakistani intervention. In a second maneuver, Operation Grand Slam, a Pakistani-armored column would strike into India to cut off Kashmir and win the war. This plan was closely guarded within a small circle around Khan so was never properly vetted for its possible weaknesses—a pattern common throughout future Pakistani army operations. The plan misfired completely. There was no insurgency but a Second Indo-Pakistani War. In 1965 India and Pakistan fought an enormous tank battle on the Punjabi plain outside of Lahore.

This war ended in a stalemate but made clear that East Pakistan was very vulnerable to an Indian attack. Surrounded on three sides by India, it was virtually indefensible. Ayub Khan said as much both during and after the war, much to the chagrin of Bengalis, awakened to the fact that their leader was prepared to lose their country in order to gain Kashmir.

Thus an unintended side effect of the second war was the East's further estrangement from the West. Feeling more and more like an occupied territory and a reluctant partner in the nation of Pakistan, citizens in the East launched a Bangladeshi independence movement. Initially focused on obtaining redress of grievances and greater autonomy, its mission gradually evolved into demands for de facto independence.

By 1968 Ayub Khan's popularity was waning as the public had grown discontented with the corruption in government. Many complained that Ayub's family had enriched itself during his rule, allegedly having stolen as much as $20 million from the state.[13] Faced with growing unrest, in 1969 Ayub Khan relinquished power to General Yahya Khan, another product of the British Indian army. He, too, had fought in World War II, serving in North Africa and Italy with the British Eighth Army. The Pakistan he inherited from Ayub was dissatisfied with army rule, especially in the East. Less skilled in politics than Ayub, Yahya proved a disaster for Pakistan.

At the outset, Yahya tried to appease Bengali anger by promising to bring more Bengalis into the army and the bureaucracy. In 1970 there